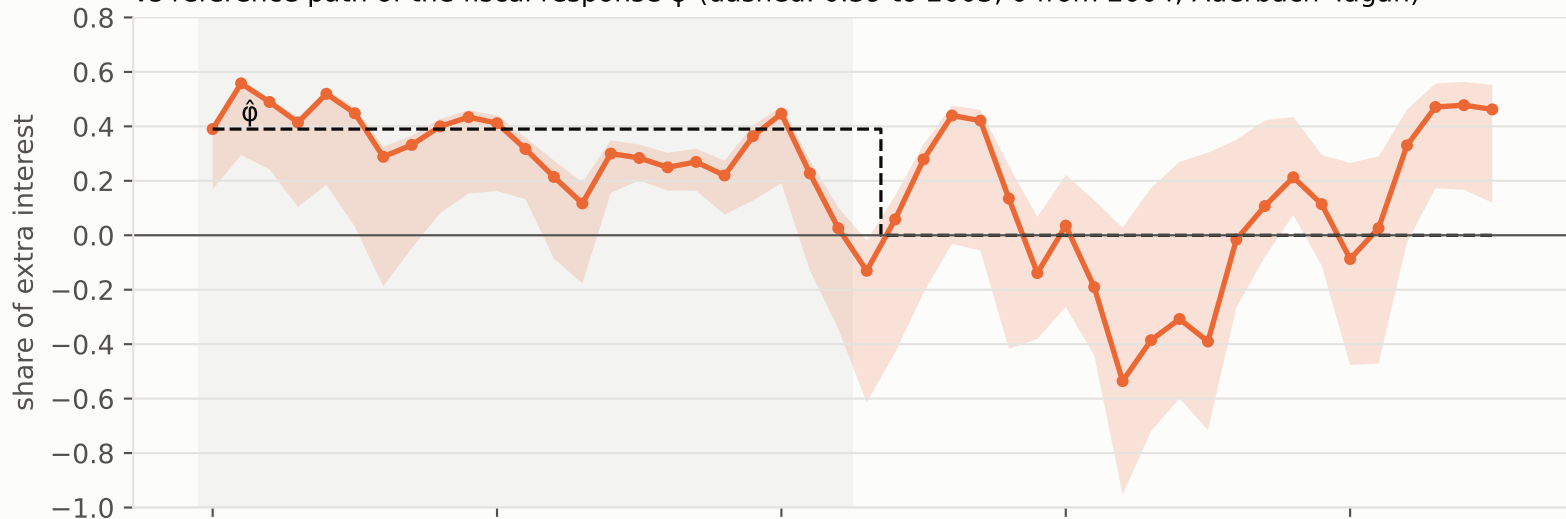
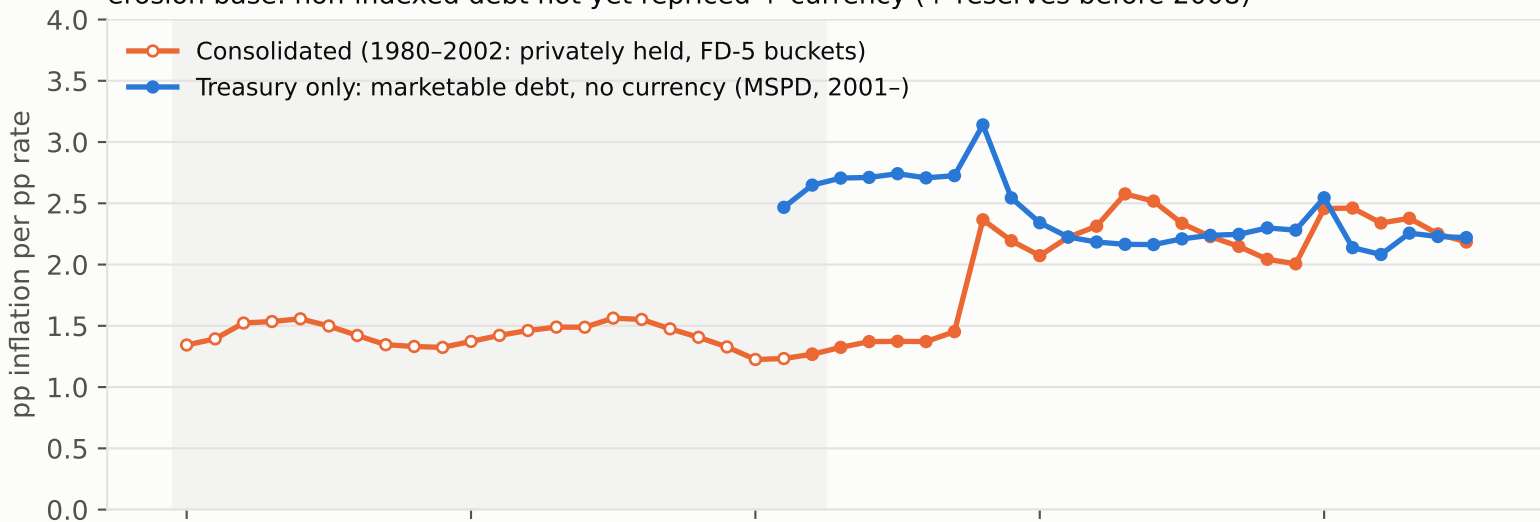


Fiscal layer: minimum offset ϕ^* (line: forward g, $\psi = 3\text{bp}$; band: trailing/forward g, $\psi 2\text{--}4.5\text{bp}$)
vs reference path of the fiscal response $\hat{\phi}$ (dashed: 0.39 to 2003, 0 from 2004; Auerbach-Yagan)



Inflation layer: sustained surprise inflation per +1pp permanent rate rise (10 years, no fiscal offset)
erosion base: non-indexed debt not yet repriced + currency (+ reserves before 2008)



Combined: inflation needed to cover the fiscal gap $(\phi^* - \hat{\phi}) +$ after a +1pp rate rise

